period. It was a classic locked-in arbitrage trade. The only hitch was that you needed a tanker, and you can't buy part of a tanker. Cornwall was simply too small to accomplish this transaction with its own funds, and it would have taken too long to raise money from investors.

[2]Statistics are for the January 2003 to December 2011 period and are based on the original fund through April 2011 and the new fund open to outside investors beginning May 2011. To calculate net return, the fees charged on the new fund were deducted from the returns of the original fund, which managed proprietary funds and did not charge any fees.

[3]*The Giant Pool of Money* was an hour-long, award-winning program that originally aired on *This American Life*, a weekly hour-long radio broadcast, hosted by Ira Glass and distributed by Public Radio International (PRI). The program provided a remarkably lucid and entertaining exposition of the intricacies of the mortgage crisis. *The Giant Pool of Money's* success gave rise to NPR's *Planet Money* radio show, hosted by Adam Davidson and Alex Blumberg, the team that had produced the program. *Planet Money* is a highly creative, entertaining, and insightful financial program. I have listened to every podcast since the program's inception, and I highly recommend it.

[4]If this comment is unintelligible to you, don't worry. A primer on mortgage-backed securities and their role in the financial crises is provided later in this chapter before our conversation related to Cornwall's short trade in collaterized debt obligations (CDOs).

[5]Mai explained that the typical quoting convention for implied volatility in interest rate markets, known as "normalized volatility," is the number of absolute basis points reflecting a one-standard-deviation event, as opposed to the standard convention of quoting implied volatility in other asset classes in terms of percentage changes in the underlying security. Normalized volatility of 100 basis points equals a much smaller volatility, as measured in "traditional" percentage terms, when rates are high than when they are low—a characteristic that may have been an additional factor amplifying the anomaly.

[6]The expected value is the sum of the probability of each outcome multiplied by its value. If we simplify by assuming there are only two outcomes—winning trade and losing trade—and estimate the average